

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1

To : Directors
From : Belinda Lam, Accounting Manager
Date : dd/mm/yyyy
Subject : Appropriate accounting treatment for the remuneration benefits

I refer to your query regarding the accounting treatment for the remuneration benefits that we have recently implemented.

Year-end bonus

HKAS 19 *Employee Benefits* defines employee benefits as all forms of consideration given by an entity in exchange for service rendered by employees or for the termination of employment.

The year-end bonus is a short-term employee benefits because it is expected to be settled wholly before twelve months after the end of the annual reporting period during which employee services are rendered and does not include termination benefits (HKAS 19.8).

HKAS 19.19 requires an entity to recognise the expected cost of bonus payments when, and only when, it has a legal or constructive obligation to make such payments as a result of past events and a reliable estimate of the expected obligation can be made. Since PHL is committed to pay the year-end bonus, PHL should recognise the expected cost of year-end bonus payment as at 31 March 2018.

HKAS 19.11 requires PHL to recognise the undiscounted amount of the benefits expected to be paid in respect of service rendered by employees in an accounting period.

Therefore, on 31 March 2018, PHL should recognise a liability of at least 4% of the annual salary plus an estimate of the additional liability up to a further 5% of the annual salary.

Improved retirement benefits

PHL is currently operating a defined benefit plan because it is a post-employment benefit plan that create an obligation on PHL to provide agreed benefits to current and past employees and effectively places actuarial and investment risk on PHL.

With a defined benefit plan, PHL is required to recognise the net defined benefit liability or asset in its statement of financial position. (HKAS 19.63)

Past service cost is the term used to describe the change in a defined benefit obligation for employee service in prior periods, arising as a result of changes to plan arrangements in the current period.

Since PHL is committed to provide additional retirement benefits for the current employees and prior service is qualified for the improved retirement benefits, the plan amendment changes the benefits payable for employee service in prior periods, it is a past service cost.

Past service cost should be recognised as an expense at the earlier of:

- the date when a plan amendment occurs; and
- the date when an entity recognises any termination benefits, or related restructuring costs under HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. (HKAS 19.103)

PHL should recognise the past service cost on a straight-line basis over the average period until the amended benefits become vested.

For employees with more than ten years' service at 31 March 2018, the benefits are already vested; therefore, PHL should recognise the relevant past service cost, i.e. the increase in present value of the defined benefit obligation for employee service from 31 March 2008 to 31 March 2018, i.e. HK\$5 million immediately on 31 March 2018.

For employees with less than ten years' service at 31 March 2018, the benefits are not yet vested; therefore PHL should recognise the relevant past service cost, i.e. the increase in present value of the defined benefit obligation for employee's service, i.e. HK\$6 million on a straight-line basis over six years from 31 March 2018.

Share option

HKFRS 2 *Share-based Payments* defines a share-based payment arrangement as an agreement between the entity and another party that entitles the other party to receive cash or other assets of the entity for amounts that are based on the price of shares or equity instruments of the entity or both.

The share option granted to the senior managers is an equity-settled share-based payment. HKAS 19 does not apply to such kinds of employee benefits, which are within the scope of HKFRS 2 *Share-based Payment*.

HKFRS 2 makes a distinction between the handling of market-based performance conditions from non-market performance conditions. Market conditions are those related to the market price of an entity's equity, such as achieving a specified share price, or a specified target based on a comparison of the entity's share price with an index of share prices of other entities.

In this case, the 40% increase in share price is a market-based performance condition. HKFRS 2 requires such a market condition (40% increase in share price) to be considered in the grant-date fair value measurement.

Being a transaction with employees, HKFRS 2 requires PHL to measure the fair value of the equity instruments granted because it is typically not possible to estimate reliably the fair value of employee services received.

For transactions measured at the fair value of the equity instruments granted (transactions with employees), fair value should be estimated at grant date.

For goods or services measured by reference to the fair value of the equity instruments granted, HKFRS 2 specifies that, in general, vesting conditions are not considered when estimating the fair value of the shares or options at the relevant measurement date. Therefore, the vesting condition (five year services up to 1 January 2023) is not taken into account in assessing the fair value of the option.

Instead, vesting conditions are taken into account by adjusting the number of equity instruments included in the measurement of the transaction amount so that, ultimately, the amount recognised for goods or services received as consideration for the equity instruments granted is based on the number of equity instruments that eventually vest.

HKFRS 2 requires the fair value of the options granted to be recognised over the period to vesting. Hence, the fair value of the option should be recognised over the vesting period regardless of whether the 40% increase in share price target (market condition) is met. The share-based payment expense should be adjusted based upon the estimated (and ultimately actual) number of share options that eventually vests.

Share-based payment expense for the year ended 31 March 2018 should be:
 $(100\% - 20\%) \times (5,000 \times 30) \times \text{HK\$}50 \times 3 / 60 = \text{HK\$}300,000$.

The corresponding amount should be credited to equity (stock option reserves).

I hope the above explanation has answered your question. Please feel free to contact me if you have further queries.

Best Regards,
Belinda Lam

Answer 2

Disposal of AGL

Since PHL has disposed of AGL and lost control of AGL as a subsidiary, PHL should recognise the gain or loss associated with the loss of control attributable to the former controlling interest. (HKFRS 10:25)

The consolidated statement of profit or loss should include the results of AGL up to the date of disposal, i.e. 30 November 2017.

The gain or loss on disposal is the difference between

- (a) the carrying amount of the net assets plus any attributable goodwill; and
- (b) the proceeds of sale.

Since AGL was a component of the Group representing a separate major line of business, the disposal of such a component of the Group is a discontinued operation under the definition of HKFRS 5.32.

<u>Profit for the year from discontinued operations</u>	<u>HK\$'000</u>	<u>HK\$'000</u>
Profit for AGL for the year to disposal (85,800 x 8 / 12)		57,200
Group profit on disposal of AGL		2,735
Profit for the year from discontinued operations		<u>59,935</u>
Sales proceeds		247,500
Less: Carrying amount of goodwill at disposal (21,825* – impairment 18,000)		(3,825)
Less: Carrying amount of net assets at disposal		
Share capital	180,000	
Retained earnings (107,000 + 85,800 x 8 / 12)	<u>164,200</u>	
		(344,200)
Add: NCI (344,200 x 30%)		<u>103,260</u>
Profit on disposal		<u>2,735</u>

*goodwill at acquisition = HK\$174,600,000 – HK\$218,250,000 x 70% = HK\$21,825,000

Disclosure requirement (Discontinued operations)

HKFRS 5.33 requires PHL to disclose:

- (a) a single amount in the statement of comprehensive income comprising the total of:
 - (i) the post-tax profit or loss of discontinued operations; and
 - (ii) the post-tax gain or loss recognised on the measurement to fair value less costs of disposal or on the disposal of the assets or disposal group(s) constituting the discontinued operation.
- (b) an analysis of the single amount in (a) into:
 - (i) the revenue, expenses and pre-tax profit or loss of discontinued operations;
 - (ii) the related income tax expense as required by paragraph 81(h) of HKAS 12; and

- (iii) the gain or loss recognised on the measurement to fair value less costs of disposal or on the disposal of the assets or disposal group(s) constituting the discontinued operation.

The analysis may be presented in the notes or in the statement of comprehensive income. If it is presented in the statement of comprehensive income, it shall be presented in a section identified as relating to discontinued operations, i.e. separately from continuing operations.

- (c) the amount of income from continuing operations and from discontinued operations attributable to owners of the parent. These disclosures may be presented either in the notes or in the statement of comprehensive income.

Answer 3

Consolidated financial statements of PHL as at 31 March 2018:

	PHL	SPL	J1	J2	J3	J4	J5	J6	J7	J8	J9	J10	J11	J12	Consolidated
<i>Figures in credit are shown in ()</i>	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Consolidated statement of profit or loss for the year ended 31 March 2018															
Revenue	(689,600)	(436,200)											2,520		(1,123,280)
Cost of sales	448,400	221,900					100								670,400
Gross profit	(241,200)	(214,300)													(452,880)
Operating expenses	140,500	44,400											(2,520)		182,380
Operating profit	(100,700)	(169,900)													(270,500)
Investment income	(114,300)	-										64,800			(49,500)
Other expense	64,500	23,900			15,750										104,150
Profit the year from continued operations															(215,850)
Profit from discontinued operations														(57,200)	(59,935)
														(2,735)	
Profit for the year	(150,500)	(146,000)													(275,785)
Profit to NCI									14,590		17,160				31,750
Profit to owners of parent															(244,035)

	PHL	SPL	J1	J2	J3	J4	J5	J6	J7	J8	J9	J10	J11	J12	Consolidated
<i>Figures in credit are shown in ()</i>	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Consolidated statement of financial position as at 31 March 2018															
Property, plant and equipment	629,200	373,800	1,000				(400)								1,003,600
Investment in subsidiary	429,900	-	(255,300)	(174,600)											-
Goodwill			27,690	21,825	(22,500)	(18,000)								(3,825)	5,190
Other net assets	50,300	46,100												247,500	343,900
At 31 March 2018	1,109,400	419,900													1,352,690
Share capital	(930,000)	(225,000)	225,000	180,000										(180,000)	(930,000)
Retained earnings	(179,400)	(194,900)													(380,640)
At 31 March 2018	(1,109,400)	(419,900)													(1,310,640)
Non-controlling interest			(25,290)	(65,475)			30	(9,400)	(14,590)	(20,625)	(17,160)	7,200		103,260	(42,050)
															(1,352,690)

	PHL	SPL	J1	J2	J3	J4	J5	J6	J7	J8	J9	J10	J11	J12	Consolidated
<i>Figures in credit are shown in ()</i>	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Reconciliation of opening and closing consolidated retained earnings for the year ended 31 March 2018															
R/E at 1 April 2017	(175,200)	(120,900)	26,900	38,250	6,750	18,000	270	9,400		20,625				(107,000)	(282,905)
Profit for the year	(150,500)	(146,000)			15,750		100		14,590		17,160	64,800		(57,200)	(244,035)
														(2,735)	
Ordinary dividend	146,300	72,000										(72,000)			146,300
R/E at 31 March 2018	(179,400)	(194,900)	-	-	-	-	-	-	-	-	-	-	-	-	(380,640)

Answer 3

Consolidation journal entries (All figures in HK\$'000)

J1 Elimination of investment in SPL

Dr	Share capital	225,000	
Dr	Retained earnings	26,900	
Dr	Property, plant and equipment	1,000	
Dr	Goodwill	27,690	
	Cr Investment in SPL		255,300
	Cr Non-controlling interests (10%)		25,290

J2 Elimination of investment in AGL

Dr	Share capital	180,000	
Dr	Retained earnings	38,250	
Dr	Goodwill	21,825	
	Cr Investment in AGL		174,600
	Cr Non-controlling interests (30%)		65,475

J3 Impairment of goodwill of SPL

Dr	Retained earnings	6,750	
Dr	Impairment loss (for goodwill of SPL) (Other expenses)	15,750	
	Cr Goodwill of SPL		22,500

J4 Impairment of goodwill of AGL

Dr	Retained earnings	18,000	
	Cr Goodwill of AGL		18,000

J5 Additional depreciation for fair value adj in SPL

Dr	Retained earnings (1,000 x 3 / 10) x 90%	270	
Dr	Non-controlling interests (10%)	30	
Dr	Depreciation (Cost of sales)	100	
	Cr Property, plant and equipment (Accumulated depreciation)		400

J6 NCI share of post-acquisition retained earnings of SPL up to 31 March 2017

Dr	Retained earnings (10% x (120,900 – 26,900))	9,400	
	Cr Non-controlling interests		9,400

J7 NCI share of current year profit of SPL

Dr	Profit to NCI (10% x (146,000 – 100))	14,590	
	Cr Non-controlling interests		14,590

<u>J8</u>	<u>NCI share of post-acquisition retained earnings of AGL up to 31 March 2017</u>		
Dr	Retained earnings (30% x (107,000 – 38,250))	20,625	
	Cr Non-controlling interests		20,625
<u>J9</u>	<u>NCI share of current year profit of AGL up to 30 November 2017 (date of disposal)</u>		
Dr	Profit to NCI (30% x (85,800 x 8 / 12))	17,160	
	Cr Non-controlling interests		17,160
<u>J10</u>	<u>Elimination of dividend paid by SPL</u>		
Dr	Dividend income (investment income)	64,800	
Dr	Non-controlling interest 10%	7,200	
	Cr Ordinary dividend		72,000
<u>J11</u>	<u>Elimination of management fees charged by PHL</u>		
Dr	Revenue	2,520	
	Cr Operating expense		2,520
<u>J12</u>	<u>Gain on disposal of AGL</u>		
Dr	Suspense account (other net assets)	247,500	
Dr	* Non-controlling interest 10%	103,260	
	Cr Goodwill (21,825 – 18,000)		3,825
	Cr Share capital		180,000
	Cr Retained earnings		107,000
	Cr Profit for the year up to date of disposal (profit from discontinued operation)		57,200
	85,800 x 8 / 12		
	Cr Profit on disposal (profit from discontinued operation)		2,735

* non-controlling interest of AGL = 65,475 (J2) + 20,625 (J8) + 17,160 (J9) = 103,260

Answer 4

<u>Reconciliation of NCI:</u>		<u>HK\$'000</u>
Book value of net assets of SPL 419,900 x 10% NCI	=	41,990
Fair value adj (1,000 x 6 / 10) = 600 x 10% NCI	=	60
		42,050

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

When another party is involved in providing goods or services to a customer, the entity shall determine whether the nature of its promise is a performance obligation to provide the specific goods or services itself (i.e. the entity is a principal) or to arrange for those goods or services to be provided by the other party (i.e. the entity is an agent). (HKFRS 15 para. B34)

An entity is a principal if it controls the specific goods or services before that good or service is transferred to a customer. (HKFRS 15 para. B35)

An entity that is a principal obtains control of any one of the following:

- (i) a good or another asset from the other party that it then transfers to the customer;
- (ii) a right to a service to be performed by the other party, which gives the entity the ability to direct that party to provide the service to the customer on the entity's behalf; and
- (iii) a good or service from the other party that it then combines with other goods or services in providing the specific good or service to the customer.

When an entity that is a principal satisfies a performance obligation, the entity recognises revenue in the gross amount of consideration in which it expects to be entitled in exchange for the specified good or service transferred. (HKFRS 15 para. B35B)

Indicators that an entity controls the specified good or service before it is transferred to the customer (and is therefore a principal) include, but not limited to the following:

- (i) the entity is primarily responsible for fulfilling the promise to provide the specified good or service;
- (ii) the entity has inventory risk before the specified good or service has been transferred to a customer or after transfer of control to the customer; and
- (iii) the entity has discretion in establishing the price for the specified good or service.

The overall business model of LCL appears to be that it promises the customers to deliver their goods to the destination. It does not matter whether the company is providing the services using its own vessels or sub-contract that to third parties to provide the services on its behalf.

Even though the company does not commit itself to obtain the service from the shipping companies before obtaining the contract from the customer, it seems LCL might be acting in the capacity of being a principal because of the following:

- LCL has the primary responsibility of ensuring the goods are to be delivered to the agreed destination. Although LCL hires a shipping company to provide shipping services, it is LCL itself that is responsible for ensuring that the services are performed and are acceptable to the customer;
- when entering into contracts with the shipping companies, LCL is the one that directs what services it required from the shipping companies;
- LCL has the discretion in establishing the price that it charges for its services, regardless what the shipping companies are charging;
- there is no indication that LCL cannot use the slot booked for customer A to ship the goods of customer B as the customers do not have choice of which vessel to use;
- the customer has no control on which shipping companies to use;
- the customers do not have right to direct the shipping companies to perform services that LCL has not agreed to provide.

Therefore, on balance LCL obtains control of a right to shipping services after entering into the contract with the customer but before those services are provided to the customer. LCL is a principal. As a result, it should recognise revenue from the sea freight business on a gross basis.

Answer 5(b)

(i) Identify separate performance obligations

Promises are separately identified and accounted for as a separate performance obligation if the promised good or service is distinct.

A good or service is distinct if both of the following criteria are met:

- the customer can benefit from the good or service either on its own or together with other resources that are readily available to the customer (i.e. it is capable of being distinct); and
- the good or service is separately identifiable from other goods or services in the contract (i.e. it is distinct in the context of the contract).

LCL's promises to the customer include the following:

- delivery of goods over the sea; and
- storage before the goods are consolidated to go on board.

While each of the above could be capable of being distinct, especially when LCL is also earning revenue from the provision of logistics business, in the context of the contract the storage is part and parcel of the journey that the goods need to make in order to be transported overseas. In other words, the storage and delivery services in the context of this contract are highly interdependent or highly interrelated. (HKFRS 15 para. 29(c))

The fact that it is not separately mentioned in the online order would also help to suggest that storage is a promise bundled together with the rest of the transportation services. Therefore, there is only one performance obligation.

(ii) Recognise revenue – whether it is point in time or over time

A performance obligation is satisfied over time if any one of the following criteria is met:

- the customer simultaneously receives and consumes the benefits as the company performs;
- the company's performance creates or enhances an asset that the customer controls as the asset is created or enhanced;
- the company's performance does not create an asset with an alternative use, and the company has an enforceable right to payment for performance completed to date.

In the hypothetical case of LCL delivering the goods part of the way, another entity would not need to substantially re-perform LCL's performance (e.g. distance already travelled) to date.

It would appear that the performance obligation would meet the criteria for revenue recognition over time, as the customer simultaneously receives and consumes the benefit as LCL performs.

Any practical or contractual limitation would be disregarded in this assessment.

Answer 5(c)

	Balance as of 31 December 2017 HK\$' million	Historical loss rate	Expected credit loss HK\$' million
Current	42,000	2%	840
≥ 30 days – 59 days past due	26,000	3%	780
≥ 60 days – 89 days past due	12,000	4.5%	540
≥ 90 days – 179 days past due	700	4.8%	34
≥ 180 days past due	20	10%	2
Total	80,720		2,196

Answer 6(a)

I disagree with Mr. Cha's conclusion.

Juicie Victory Limited ("JV")

Under HKAS 24 *Related Party Disclosures* para. 9(b)(ii), when one entity is a joint venture of the other entity, then they are related parties to each other. CCL exercises joint control over JV; therefore JV is a related party to CCL.

Just Orchard Limited ("JOL")

According to HKAS 24 para. 11(b), two joint venturers, simply because they share joint control of a joint venture, does not make them related parties to each other. Therefore, without other evidence indicating otherwise, JOL – being a joint venturer that shares joint control over JV with CCL, is not a related party to CCL in the context of HKAS 24.

Mint Illusion Limited ("MI")

If an entity holds, directly or indirectly, 20% or more of the voting power of the investee, it is presumed that the entity has significant influence, unless it can be clearly demonstrated that this is not the case. (HKAS 28 para. 5)

MI holds 21% shares and voting power in CCL. It appears that MI should have significant influence over CCL. Under HKAS 24 para. 9(b)(ii), when one entity is an associate of the other entity, they are related party to each other. Therefore, unless it can be clearly demonstrated that MI does not have significant influence over CCL, MI and CCL should be related party to each other.

Milan Assortment Limited ("Mi Asso")

Based on the information provided, both CCL and Mi Asso should be under significant influence of MI. HKAS 24 para. 9 does not include the situation when two parties are under common significant influence that they would be considered as related parties. Therefore, CCL and Mi Asso are not related parties under HKAS 24.

Mr Bo

According to HKAS 24 para. 9(a)(iii), when a person is a member of the key management personnel of the reporting entity or of a parent of the reporting entity, then he / she is a related party to the entity.

Under HKAS 24 para. 9, key management personnel are those persons having authorities and responsibility of planning, directing and controlling the activities of the entity, directly or indirectly including any director of that entity.

Mr Bo is a non-executive director of END. Since he is a key management personnel of CCL's parent, he is a related party under HKAS 24.

Mrs Bo

According to HKAS 24 para. 9(a)(iii), a person or a close member of that person's family is related to a reporting entity if that person is a member of the key management personnel of the reporting entity or of a parent of the reporting entity.

Under HKAS 24 para. 9, close members of the family of a person include the person's children and spouse or domestic partner.

Mrs Bo, as the spouse, is a close member of family of Mr Bo, who is a key management personnel of the parent of CCL. Therefore, she is also a related party to CCL.

Bodine Limited ("BL")

BL is 100% held by Mrs Bo, so without evidence indicating otherwise, BL should be an entity controlled by Mrs. Bo.

Under HKAS 24 para. 9(vi), an entity that is controlled by a person identified in para. 9(a) would be a related party to the reporting entity. Such person includes the spouse of a key management personnel of the entity's parent.

Therefore, BL is a related party to CCL even when Mrs Bo does not have any power in running of END group.

Answer (6)(b)(i)

Mr Cha's behaviour is unethical.

As a professional accountant, he has to comply with the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour as set out in 100.5 of the Code of Ethics for Professional Accountants (the Code).

Mr. Cha as a professional accountant in business is expected to encourage an ethics-based culture in the organisation. (300.5 of the Code)

Mr Cha is threatening Fanny that he would be removing CDC as auditors if they do not agree with management's point of view. He is imposing intimidation threat over Fanny.

If CDC has exercised due care in arriving at its conclusions, it is questionable that the "firm next door" would agree to every single assertion that CCL's management is making. Mr Cha's integrity would then be called into question.

If Mr Cha genuinely believes that his conclusions are correct based on the application of the relevant financial reporting standards, then his level of professional competence and due care in preparing the financial statements are questionable.

His objectivity is also called into question if he insists in certain treatment that CDC disagrees on.

Answer (6)(b)(ii)

New Auditors

Where new auditors are to be appointed at a general meeting, it is necessary to serve special notice (28 days) to the members.

In some cases this may be impossible, but the notice period may not be less than 21 days.

Notification to the members may be made by any mode of communication permitted by the Articles of Association.

Removal and resignation of auditors

The company must pass an ordinary resolution if it wishes to remove the auditors.

If this occurs before the expiry of the period of office, special notice of 28 days to the company by the person seeking to remove the auditor is mandatory.

Any representations by the auditors relating to (or relevant to) the removal or resignation must be sent to the members.

The removed or resigning auditor is entitled to attend the next AGM.

The auditor can resign in writing at any time.

Unless the auditor wishes to make a statement to the members, the notice to the company must state that there are no relevant circumstances connected with the resignation that need to be brought to the attention of the members.

The notice of resignation must be deposited with the Companies Registry.

If there is a statement made by the auditor relating to the circumstances of resignation, then this must be sent to all of the members.

Answer 7(a)

2014:

		<u>HK\$'million</u>	<u>HK\$'million</u>
Dr.	Cash subsidies receivable	50	
	Cash / Bank	20	
	Cr. Deferred income		70

Being recognition of government grant received / receivable.

2015:

		<u>HK\$'million</u>	<u>HK\$'million</u>
Dr.	Property, plant and equipment	200	
	Cr. Cash / Bank / Accounts payable		200

Being recognition of costs incurred in building the new plant.

2016:

		<u>HK\$'million</u>	<u>HK\$'million</u>
Dr.	Profit or loss – depreciation	20	
	Deferred income	7	
	Cr. Accumulated depreciation		20
	Profit or loss – other income		7

Being recognition of depreciation of the new plant, and the corresponding amortisation of deferred income for 2016.

Answer 7(b)

Under HKAS 20 para.32, a government grant that becomes repayable shall be accounted for as a change in accounting estimate in accordance with HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*. This means that in TL's case, the adjustment to the accounting for the grant is made in 2017 to adjust the balances and comparatives are not restated.

Therefore, for the year ended 31 December 2017, TL would record the following double entries to reflect the reduction in the subsidies.

		<u>HK\$'million</u>	<u>HK\$'million</u>
Dr.	Deferred income (70 – 7) – (50 – 5)	18	
	Profit or loss	2	
Cr.	Cash subsidies receivable		20

Being recognition of deduction in subsidies.

* * * END OF EXAMINATION PAPER * * *